

FMP Module 3 — Regulation of Financial Markets: Workbook Answers

Each question is quoted verbatim from the workbook (V05, 25-05-19), followed by a model answer grounded in the Module 3 study guide (with cross-references to Modules 1 and 2 where useful). Total marks: 75. Pass mark: 65%.

QUESTION 1 · Foundations of Regulation [10 marks]

- 1.1** Discuss the role of regulation in maintaining financial stability in markets, with reference to the Global Financial Crisis (GFC) of 2008. (2)

ANSWER

Regulation provides the **legal certainty, prudential safeguards and conduct rules** that allow financial markets to function without collapsing on each other. It reduces the risk of **systemic failure**, sets capital and liquidity buffers, and limits market manipulation.

The **2008 GFC** is the textbook case: US banks repackaged sub-prime mortgages into AAA-rated CDOs while regulators failed to see the build-up of leverage and interconnected risk. When defaults rose, the contagion spread globally — Lehman collapsed, money markets froze, and recession followed. The crisis catalysed the wave of post-2008 reforms (Dodd-Frank, Basel III, EMIR and SA's own Twin Peaks model via FSRA 2017) — all designed to push **capital, conduct, and transparency** back into the system.

- 1.2** Explain the broad objectives of financial market regulation and provide examples of how regulators achieve these objectives. (2)

ANSWER

- » **Protect consumers** — e.g. FAIS licensing of advisors and FSCA's TCF programme.
- » **Foster capital formation & growth** — JSE listing requirements channel savings to issuers.
- » **Support economic stability** — Basel III capital ratios under the Prudential Authority.
- » **Ensure fairness** — JSE surveillance and insider-trading prohibitions in the Financial Markets Act.
- » **Enhance efficiency** — STRATE dematerialisation; standardised reporting (FICA, EMIR).
- » **Improve society** — FICA / FATF AML rules combat money-laundering and terror financing.

- 1.3** Analyse the consequences of regulatory failure in financial markets, citing potential impacts on customers, businesses, and the economy. (2)

ANSWER

Regulatory failure cascades through three layers:

- » **Customers** — mis-selling, loss of savings, identity theft, eroded confidence in the financial system.
- » **Businesses** — fines, criminal sanctions, reputational damage, loss of licences, business interruption, share-price impact.
- » **Economy** — bank runs & contagion, recessions (as per GFC), credit-rating downgrades, currency weakness, capital flight, taxpayer-funded bailouts.

- 1.4** Describe the importance of transparency and fairness in financial markets and the role of regulation in achieving these objectives. (2)

ANSWER

Markets only work when participants **trust the price**. Transparency and fairness:

- » Reduce **information asymmetry** between issuers and investors, and between dealers and clients.
- » Allow accurate **price discovery** — the core economic function of any market.
- » Underpin **investor confidence**, lowering the cost of capital for the real economy.

Regulators deliver this through **mandatory disclosure** (issuer reporting, FAIS advisor disclosures), **insider-trading prohibitions**, **best-execution** rules, and **market surveillance** by SROs like the JSE and conduct authority FSCA.

- 1.5** What are the key regulatory bodies in South Africa that oversee financial markets, and what are their primary functions? (2)

ANSWER

Body	Primary function
SARB (incl. Prudential Authority)	Monetary policy, currency, financial stability, prudential supervision of banks & insurers.
FSCA	Market conduct regulator — TCF, market integrity, consumer protection.
NCR	Consumer credit industry under the National Credit Act.
FIC	AML / CFT operational hub under FICA.
JSE	Frontline self-regulator of listed markets under the Financial Markets Act.
Treasury	Fiscal policy, budget, public debt and intergovernmental finance.
Info Regulator	POPIA — personal information & data privacy.

QUESTION 2 · Gatekeeping, Operational & Proxy Rules [15 marks]

- 2.1** Discuss the role and importance of gatekeeping rules in financial markets. (5)

ANSWER

Gatekeeping rules control **who is allowed into the market** and what products may be offered. They cover three layers:

- » **Personnel screening** — fit-and-proper requirements for directors, advisors and key individuals (qualifications, honesty, financial soundness, operational competence).
- » **Firms** — licensing and authorisation by the FSCA (FAIS Cat I–IV), Prudential Authority (banks, insurers), or SROs (JSE listing approval) before any market participation.
- » **Products** — pre-approval of CIS portfolios under CISCAs; suitability rules; restrictions on selling complex products to retail clients.

Importance: they raise the entry bar so that bad actors are filtered out before they can cause customer harm. They are the **first line of defence** against fraud, mis-selling and systemic shocks, and they support the **integrity and credibility** of the market as a whole — which lowers the cost of capital for legitimate issuers.

- 2.2** Explain the key components of operational rules within financial organisations and their significance. (5)

ANSWER

Operational rules govern how a regulated firm runs its day-to-day business. The main components are:

- » **Internal controls** — segregation of duties, approval levels, custody of client assets, regular reconciliations.
- » **Risk management** — exposure limits, capital adequacy, stress testing, asset / liability matching.
- » **Compliance & ethics** — codes of conduct, conflict-of-interest management, employee dealing rules.
- » **Transaction handling** — trade affirmation, settlement discipline, error correction protocols.
- » **Technology & resilience** — cyber-security, business continuity planning, system reliability and data integrity.

Significance: these rules turn high-level regulation into **concrete daily behaviour**. Without them, even a well-licensed firm could fail catastrophically — as several rogue trading scandals (Barings, Société Générale, Archegos) have demonstrated. They protect customers, shareholders and the wider financial system.

2.3 What are the challenges and benefits of proxy voting rules in corporate governance? (5)

ANSWER

Proxy voting rules allow shareholders who cannot attend an AGM in person to appoint someone to vote on their behalf. The rules cover eligibility, solicitation, voting mechanisms, deadlines and disclosure.

Benefits:

- » Maximise shareholder participation — especially institutional investors holding shares for retail clients.
- » Strengthen oversight of company management on remuneration, board composition and ESG matters.
- » Lower the cost of corporate democracy — no need to physically attend every AGM.
- » Improve accountability through publicly disclosed voting records.

Challenges:

- » **Conflicts of interest** — asset managers may hesitate to vote against companies they want as banking clients.
- » **Complexity** — resolutions can be technical; small shareholders may not understand the issues.
- » Mismatch between **beneficial** owners (retail clients) and **registered** holders (custodians).
- » Difficulty in **chasing instructions** from large numbers of fund members within tight deadlines.
- » Risk of **robo-voting** where managers follow proxy-advisor recommendations without independent judgement.

QUESTION 3 · SARB, FSCA & NCR [15 marks]

3.1 What are the key roles and responsibilities of the South African Reserve Bank (SARB)? (5)

ANSWER

- » **Monetary policy** — set the repo rate to keep CPI within the **3–6% target band** (4.5% midpoint preferred); MPC meets six times per year.
- » **Currency stability** — sole issuer of banknotes and coin; manages official gold and foreign-exchange reserves.
- » **Financial stability** — supervises the banking sector through the **Prudential Authority** and acts as the macroprudential authority for the system as a whole.
- » **National payment system** — operates SAMOS and oversees PASA; ensures safe, efficient settlement.
- » **Banker to government & lender of last resort** in liquidity crises; administers remaining exchange controls.

Independence is **constitutionally entrenched (s224)**, with the primary objective being to **protect the value of the currency in the interest of balanced and sustainable economic growth**.

3.2 How does the Financial Sector Conduct Authority (FSCA) contribute to market conduct regulation in South Africa? (5)

ANSWER

The FSCA was established in 2018 under **FSRA 9 of 2017** as the conduct peak of SA's Twin Peaks regulatory model, replacing the former FSB.

- » **Supervises market conduct** across banks, insurers, retirement funds, asset managers, advisors and exchanges.
- » **Enforces Treating Customers Fairly (TCF)** outcomes — fair products, clear info, no mis-selling.
- » **Investigates misconduct** — insider trading, market abuse, mis-selling, false advertising; imposes administrative penalties.
- » **Licenses FSPs** under FAIS and approves CIS managers under Cisca.
- » **Promotes financial literacy** and inclusion through education campaigns.
- » **Co-operates internationally** via IOSCO and bilateral MoUs; shares supervisory information with PA and FIC.

- 3.3** What are the primary roles of the National Credit Regulator (NCR) in regulating South Africa's credit industry? (5)

ANSWER

The NCR was established under the **National Credit Act (NCA) 34 of 2005** to oversee the consumer credit market.

- » **Registration** of credit providers, credit bureaux, debt counsellors and payment distribution agents.
- » **Reckless lending controls** — affordability assessments, credit-bureau enquiries before granting credit.
- » **Consumer protection** — pricing disclosure, in-duplum rule (interest cap), debt counselling and debt review.
- » **Enforcement & investigations** — fines, deregistration and referral of criminal conduct to the National Consumer Tribunal.
- » **Financial literacy** — consumer education on borrowing, credit reports and over-indebtedness.

QUESTION 4 · JSE and Twin Peaks Model [17 marks]

- 4.1** What are the primary market functions and services provided by the Johannesburg Stock Exchange (JSE)? (5)

ANSWER

Founded in 1887, the JSE is Africa's full-service securities exchange and one of the top-20 globally by market capitalisation. Its market functions are:

- » **Equity market** — Main Board & AltX listings; primary issuance (IPOs / FPOs) and secondary trading.
- » **Bond market** — government, parastatal and corporate debt; one of the deepest in EM.
- » **Derivatives market** — equity, currency, interest-rate, agricultural and commodity derivatives via Safex / Yield-X.
- » **Commodities** — physical and financial agri products (white maize, yellow maize, soya, wheat, sunflower).
- » **ETPs / structured products** — ETFs, ETNs, AMCs.
- » Provides **price discovery, liquidity and post-trade infrastructure** (clearing via JSE Clear, settlement via STRATE).

- 4.2** How does the Johannesburg Stock Exchange (JSE) contribute to market regulation and investor protection? (5)

ANSWER

The JSE is a **Self-Regulatory Organisation (SRO)** licensed under the Financial Markets Act 19 of 2012 and supervised by the FSCA & Prudential Authority.

- » **Listing Requirements** — set minimum standards for issuers (free float, governance, financials, disclosure).
- » **Surveillance** — real-time monitoring of trading for manipulation, insider trading and disorderly conduct.
- » **Enforcement** — censures, fines and de-listings against issuers and members that breach rules; criminal cases referred to FSCA / NPA.
- » **Trading rules** — best execution, transparency, market-maker obligations and circuit breakers.
- » **Investor protection** — Continuing Obligations & SENS announcements ensure timely price-sensitive disclosure; JSE Investor Protection Fund covers certain broker-default losses.

- 4.3** Explain the Twin Peaks regulatory model in South Africa. (3)

ANSWER

Introduced by the **Financial Sector Regulation Act (FSRA) 9 of 2017**, effective 1 April 2018. The model splits financial regulation into two specialised **peaks**:

- » **Prudential Authority (PA)** — housed within SARB, focuses on the **safety and soundness** of financial institutions.
- » **Financial Sector Conduct Authority (FSCA)** — focuses on the **market conduct** of those same institutions toward customers and counterparties.
- » Together they replaced the old **single-regulator (FSB)** approach, which the GFC showed to be inadequate for handling both prudential and conduct issues at the same firm.

4.4 Describe the role of the Prudential Authority in context of the Twin Peaks Model. (2)

ANSWER

The PA — operating **within SARB** — ensures the **financial soundness** of banks, insurers, market infrastructures and financial conglomerates. It sets and enforces **capital, liquidity, leverage and risk-management** standards (Basel III for banks, SAM for insurers), conducts on-site inspections and stress tests, and supervises systemically important institutions to protect the stability of the financial system as a whole.

4.5 Describe the role of the FSCA in context of the Twin Peaks Model. (2)

ANSWER

The FSCA is the **conduct peak** — focused on how regulated firms **treat their customers** and behave in the market. It enforces **Treating Customers Fairly**, polices market abuse and insider trading, licenses FSPs under FAIS, approves CIS managers under CISCA, and works alongside the PA so the same firm faces consistent supervision on both soundness and conduct.

QUESTION 5 · ASISA, Regulation 28 & Regulatory Objectives [18 marks]

5.1 What is the primary purpose of the ASISA Standard on Fund Classification? (3)

ANSWER

The ASISA Standard provides a **consistent industry-wide framework for classifying Collective Investment Schemes**, so that investors and advisors can compare funds on a like-for-like basis.

- » Sets clear categories based on **asset class, geography and risk profile** (e.g. SA Equity General, Global Multi-Asset High Equity).
- » Reduces confusion from inconsistent or marketing-driven fund labels.
- » Promotes **transparency, standardisation and comparability** across the SA fund industry.

5.2 How does Regulation 28 of the Pension Funds Act ensure the safety of pension fund investments? (3)

ANSWER

Reg 28 places **limits on how much of a retirement fund's assets can be exposed to any one asset class or counterparty**. The goal is **diversification and risk control** for members who depend on the fund for retirement income.

- » Caps exposure to equities, property, foreign assets, hedge funds, private equity and single counterparties.
- » Enforces **concentration limits** at issuer and instrument level.
- » Mandates ongoing monitoring and remedial action if limits are breached.
- » Encourages a **long-term, well-diversified** portfolio that can meet pension obligations.

5.3 What is the maximum percentage of pension fund assets that can be invested in equities according to Regulation 28? (3)

ANSWER

Under **Regulation 28 of the Pension Funds Act**, a retirement fund may not invest more than **75% of its assets in equities** (listed and unlisted combined). For context, the other key caps are:

Asset class	Maximum exposure
Equities	75%
Foreign (offshore) assets	45%
Property	25%
Private equity	15%
Hedge funds	15%
Single issuer (concentration limit)	Varies — typically 5–25% by credit quality

Cash and money market may be held up to 100% subject to liquidity needs.

5.4 What is the role of socially responsible investment (SRI) in Regulation 28?**(3)****ANSWER**

Regulation 28 explicitly requires retirement funds to **consider environmental, social and governance (ESG) factors** in the long-term sustainability of investment returns.

- » Funds must **consider** ESG risks when constructing portfolios — it is not an opt-in extra.
- » Encourages allocation to **infrastructure, green energy and developmental investments** that benefit the broader economy.
- » Aligns retirement-fund stewardship with the **Code for Responsible Investing in South Africa (CRISA)**.
- » Recognises that **ignoring ESG risks (climate, governance failures) can destroy long-term value** for fund members.

5.5 How does the ASISA Standard on Fund Classification help improve transparency in the investment industry?**(3)****ANSWER**

- » **Consistent categories** mean any fund can be compared against true peers — no hiding behind creative naming.
- » **Standardised disclosure** of asset allocation, geography and risk forces managers to describe what they actually do.
- » Easier **regulatory reporting** — FSCA and trustees can monitor adherence to mandates.
- » Reduces **misleading marketing** — investors get clearer information when choosing funds.
- » Supports informed advice from **FAIS-licensed advisors** who must give suitable recommendations.

5.6 Explain the primary objective of financial market regulation.**(3)****ANSWER**

The **primary objective** of financial market regulation is to **maintain a fair, stable and efficient financial system that protects consumers and supports sustainable economic growth**.

This single objective breaks down into the secondary aims covered in the FMP study guide:

- » **Consumer protection** — against fraud, mis-selling and abusive practices.
- » **Financial stability** — preventing systemic failures of the GFC type.
- » **Market integrity** — fair and transparent price discovery.
- » **Capital formation** — efficient channelling of savings to productive investment.
- » **Financial inclusion & social objectives** — AML / CFT, equitable access.

Total marks: 75 | Q1: 10 · Q2: 15 · Q3: 15 · Q4: 17 · Q5: 18 | Pass mark: 65% (49 marks)